

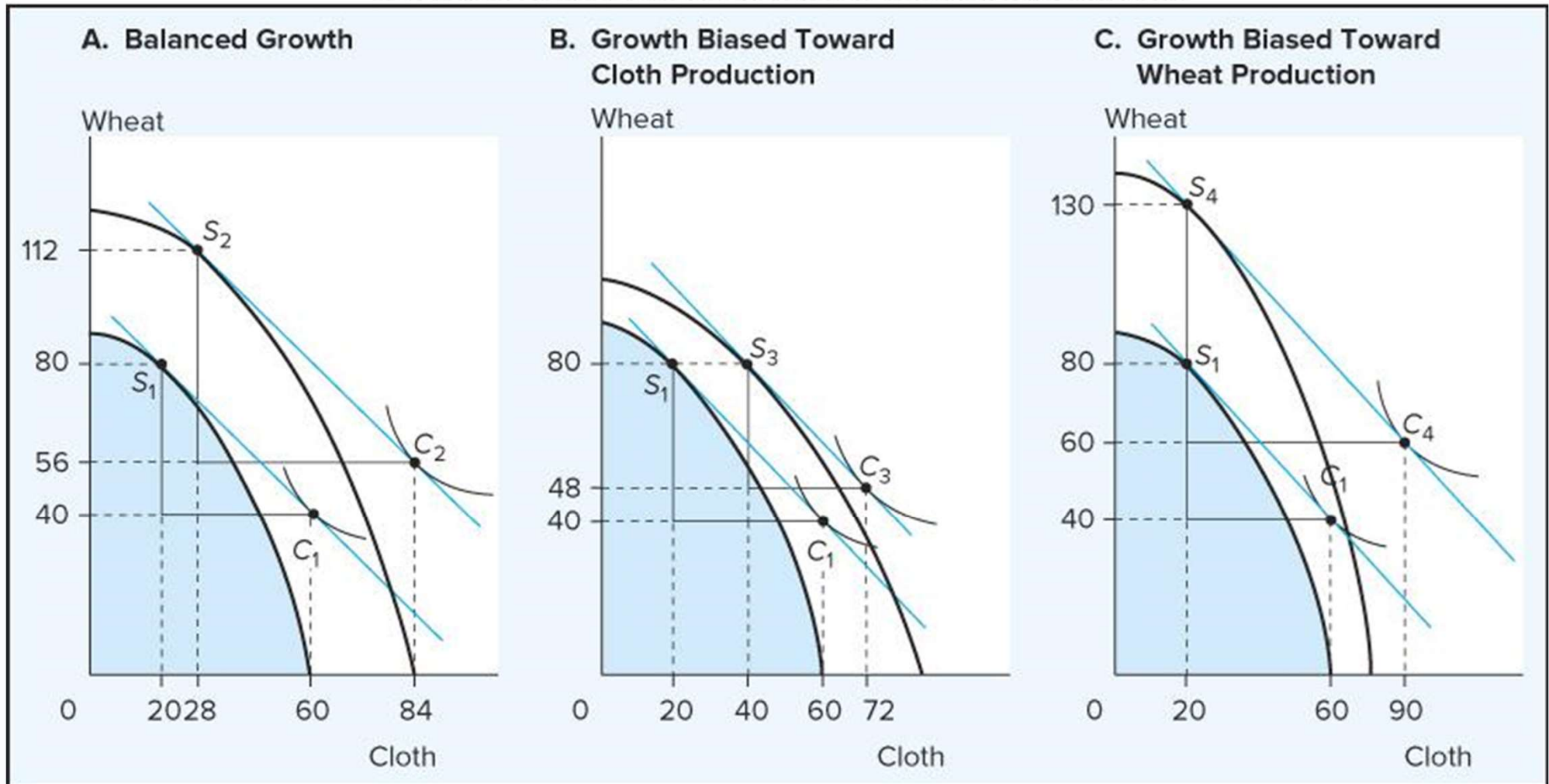


Chapter 7: Growth and Trade

International Economics, 17th Edition, Pugel

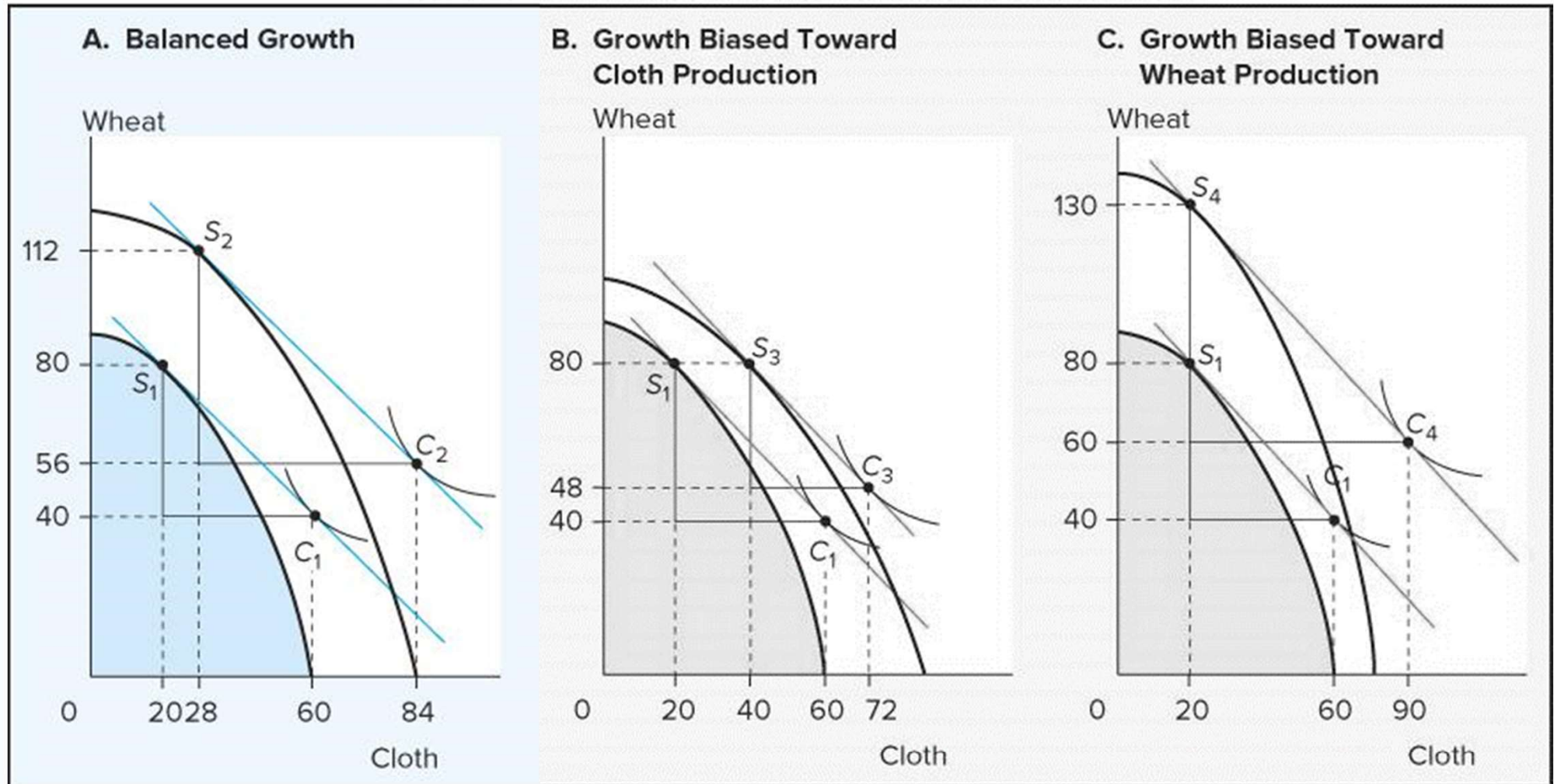
Balanced and Biased Growth

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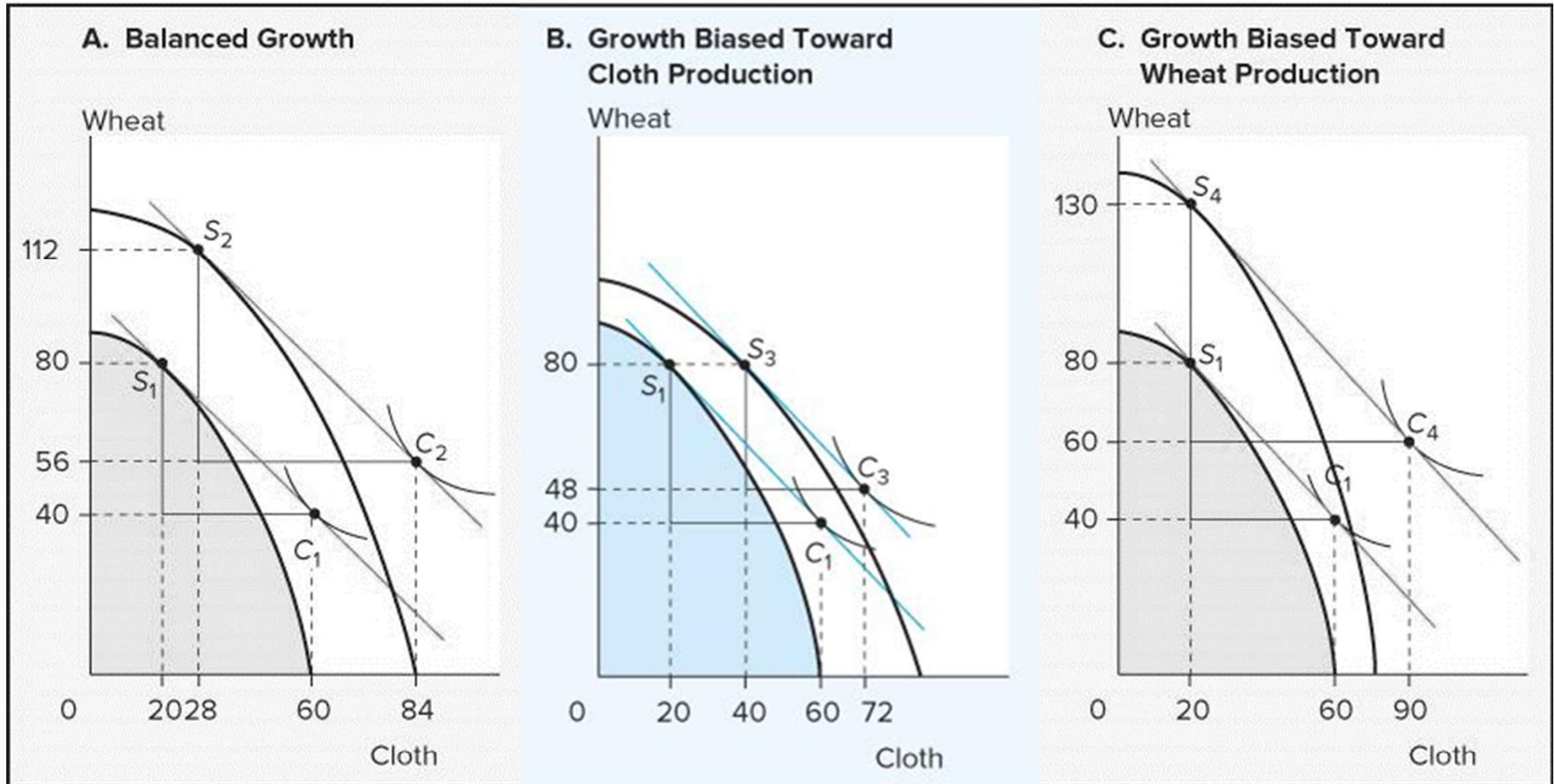
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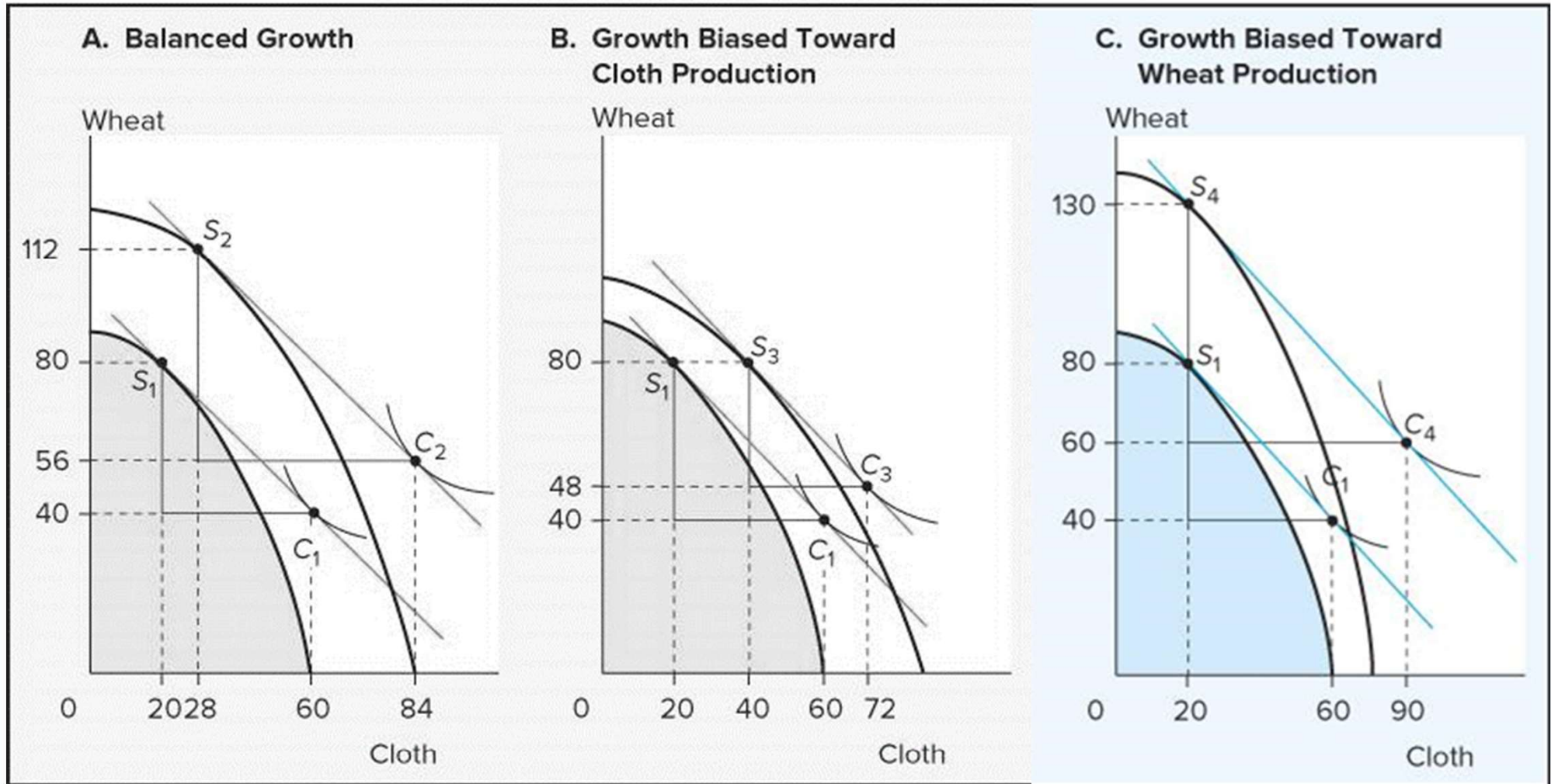
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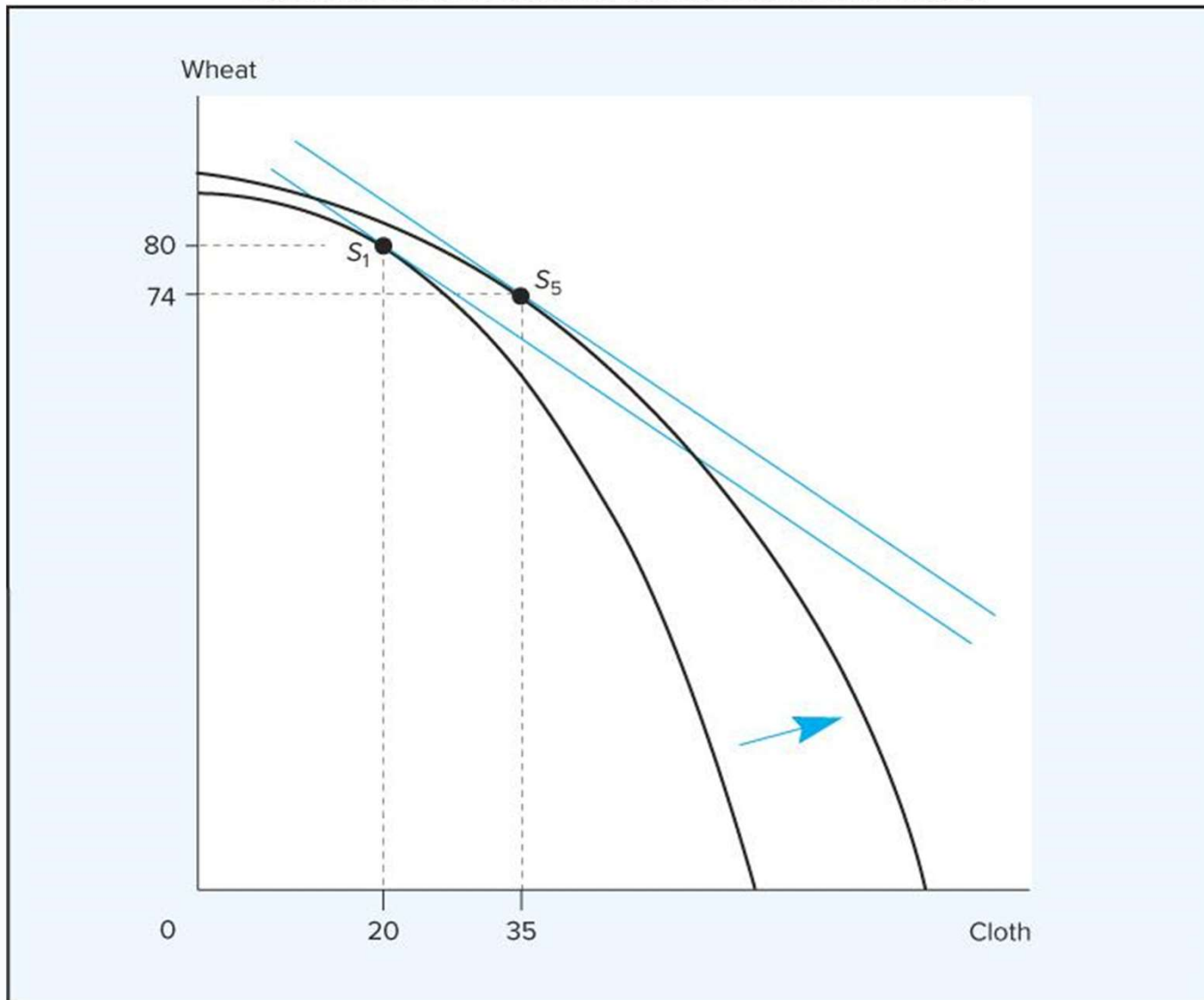
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Single-Factor Growth: The Rybczynski Theorem

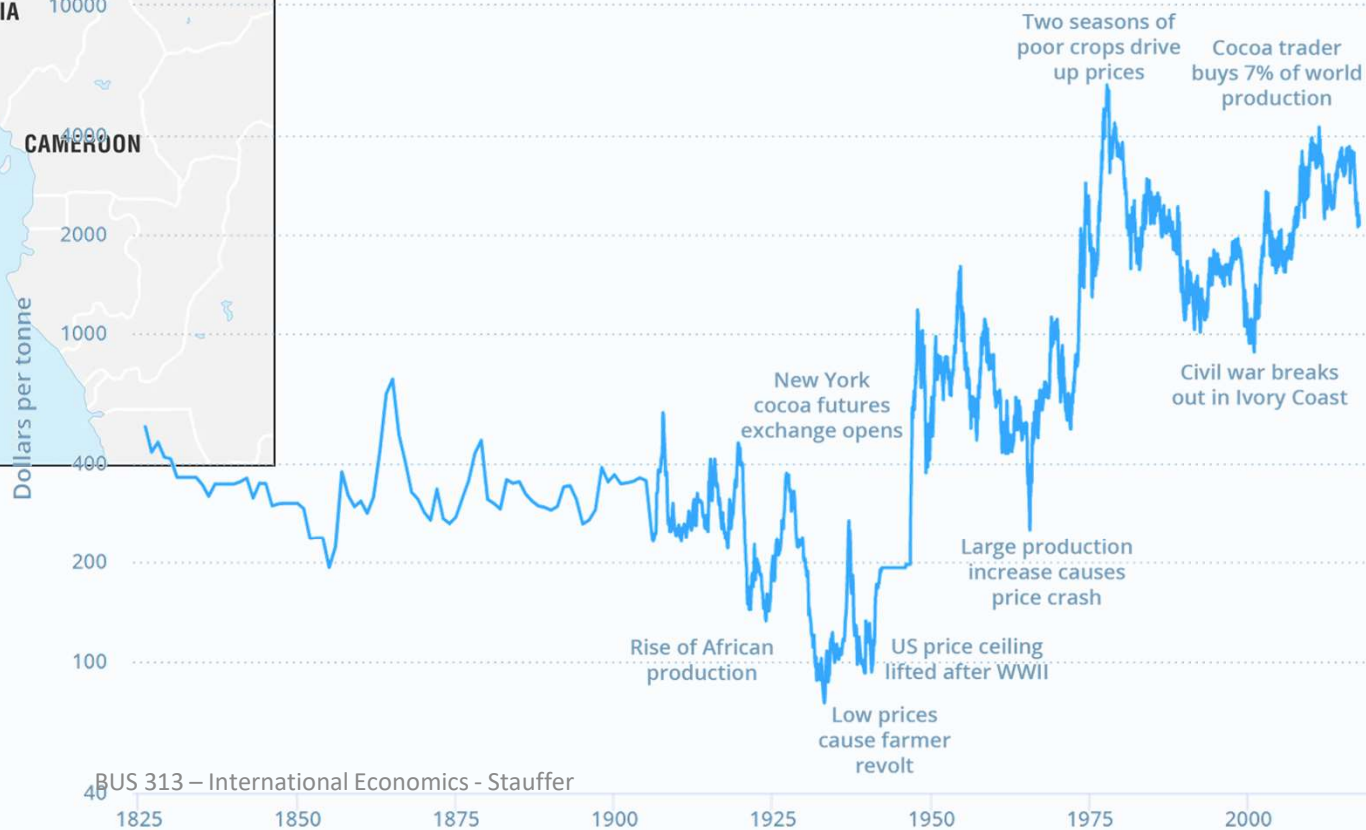
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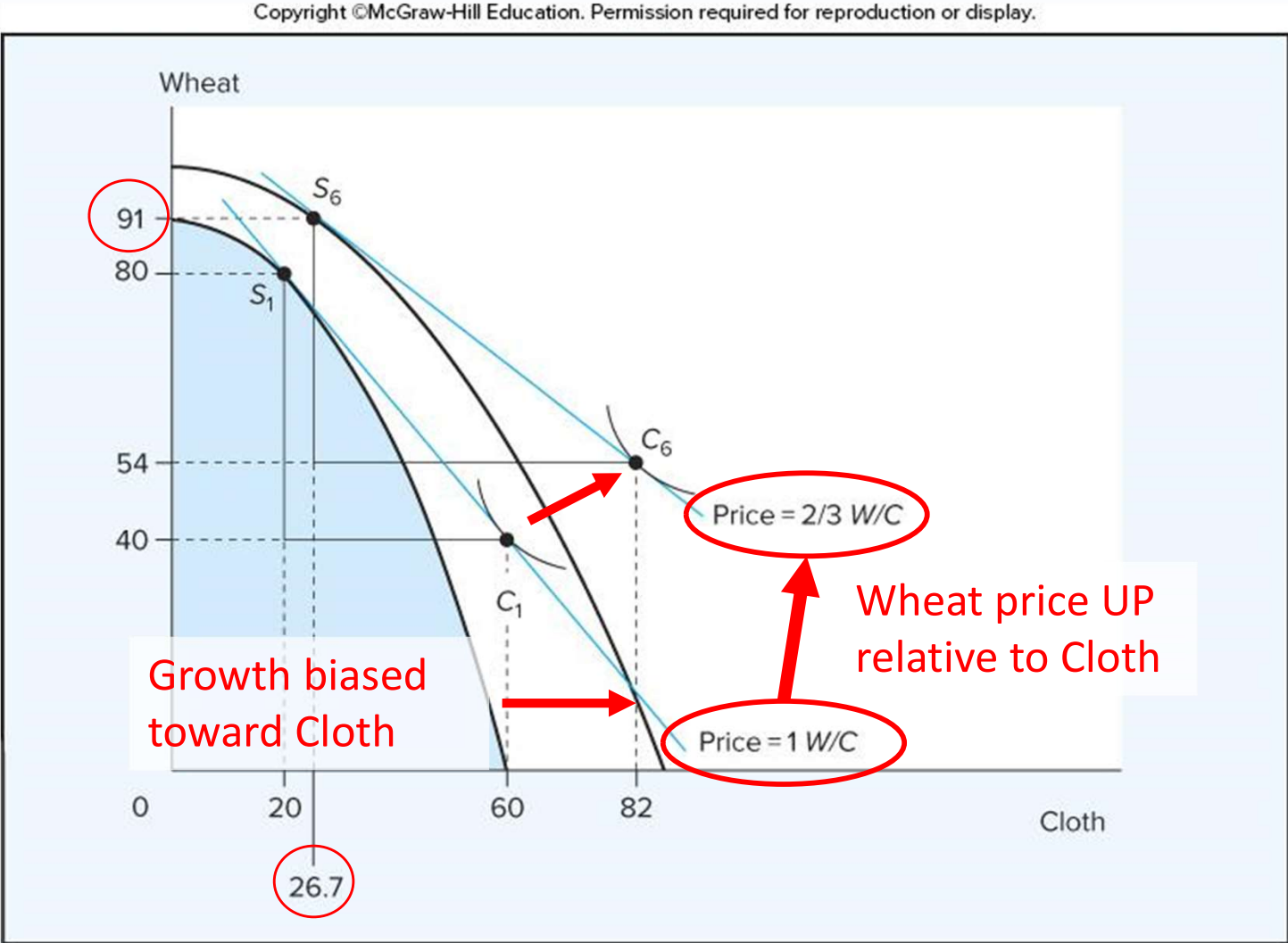
Changes in the Country's Willingness to Trade

As production and consumption change with growth, a country's willingness to or interest in engaging in international trade can also change.

“Small” vs. “Large” Country



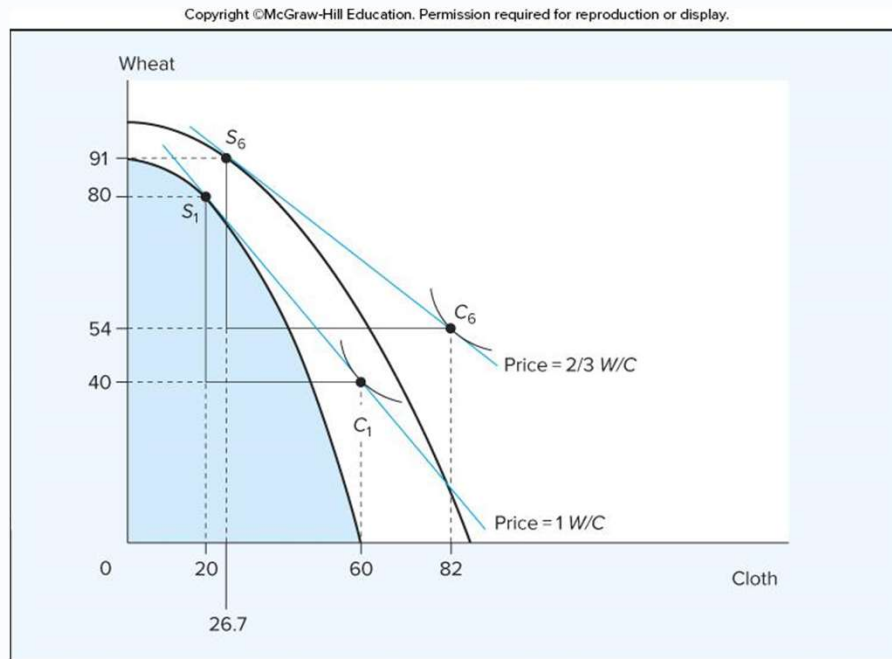
Growth Biased toward Replacing ports (Cloth) in a Large Country (U



Growth Biased toward Replacing Imports (Cloth) in a Large Country (US)

US gains:

- The production benefit from growth shifts the PPC out.
- It receives a better price for its exports (wheat) relative to the price paid for imports (cloth).



$$\begin{array}{c} \uparrow \\ \text{Exports (X)} \\ \uparrow \\ \text{(wheat price)} \end{array} - \begin{array}{c} \downarrow \\ \text{Imports (M)} \\ \downarrow \\ \text{(cloth price)} \end{array} = \begin{array}{c} \uparrow \\ \text{Terms of Trade (Tot)} \end{array}$$

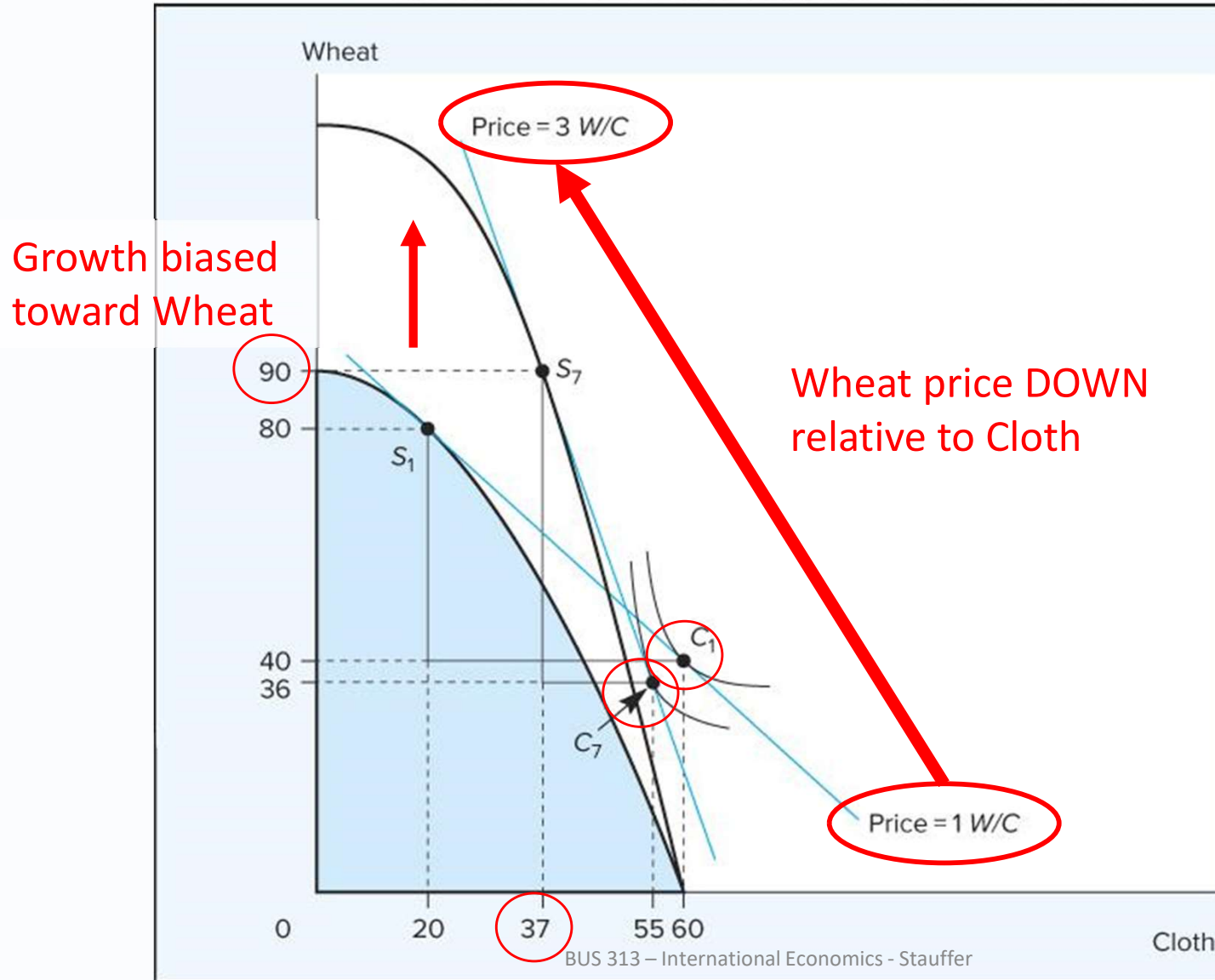
Immiserizing Growth in a Large Country (US)

3 crucial conditions:

- Growth must be strongly biased toward expanding the country's supply of exports and must be large enough to have an impact on world prices.
- Foreign demand for the country's exports must be price inelastic and lead to a large drop in the international price of the export product.
- Before the growth, the country must be heavily engaged in trade.

Immiserizing Growth in a Large Country (US)

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Oversupply: Diamonds



Dutch Disease

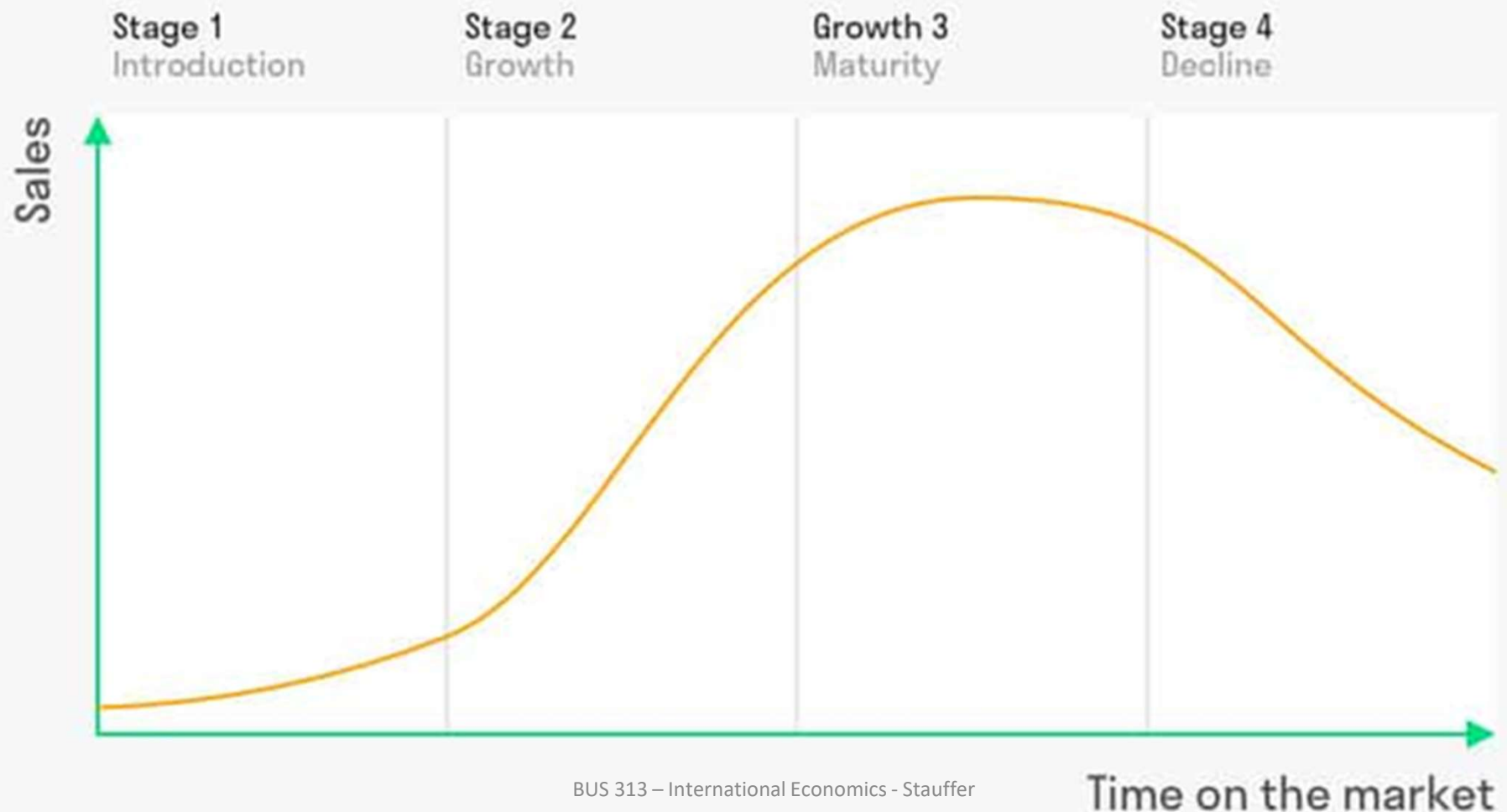
Oil and natural gas discoveries

- Canada
- Nigeria
- Russia
- Norway and the UK
- Venezuela

- Australian mineral commodities
- UK financial sector
- Somali piracy ransoms
- Post-disaster booms

Technology and Trade

Technological changes occur at different rates in different sectors and countries over time.



Dutch Disease - Venezuela

